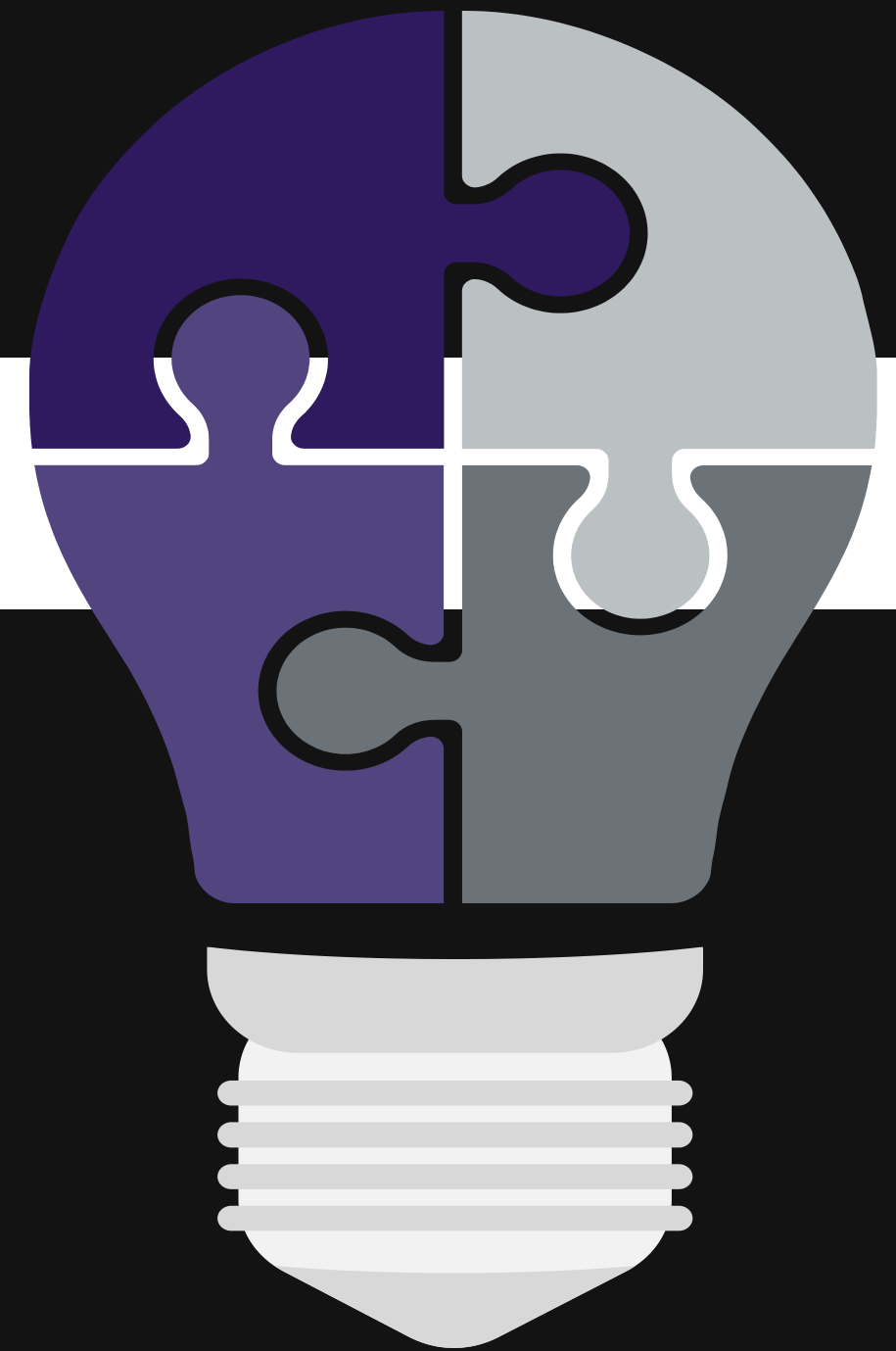


# PROJECT MANAGEMENT PLAYBOOK

MANAGE BUDGET, COST, AND RESOURCES

## Create a project budget



# REVIEW: Project team

A cross-functional project team will drive the customer service redesign project.

| Name                                | Project Role          | Cost Per Hour | Hours needed for the project | Available hours for this project |
|-------------------------------------|-----------------------|---------------|------------------------------|----------------------------------|
| Melinda Carlyle                     | Product Owner         | \$100         | 50                           | 60                               |
| Naomi Brown                         | Product Lead          | \$80          | 50                           | 65                               |
| <b>Radha Manjunath</b>              | Project Manager       | \$80          | 50                           | 52                               |
| Hans Hindleman                      | Designer              | \$50          | 100                          | 75                               |
| Andy Adler                          | Content Author/editor | \$50          | 215                          | 115                              |
| Stu Sampson                         | Quality Assurance     | \$50          | 115                          | 132                              |
| Alex Samsonite<br>(Manager of team) | Customer Service Team | \$22.5        | 380                          | 460                              |
| Diana Delaney                       | Software Engineer     | \$150         | 30                           | 60                               |

# COMPLETE: Estimate costs

- Estimate the costs associated with each project component and activity.
- Utilize cost estimation techniques such as top-down estimation, or bottom-up estimation.
- Use the [Moodies' budget template](#) as a working document, then enter your contingency in the response column.

| QUESTION                                        | RESPONSE                                                                                                                                                                                                                                                                                                                                                                |
|-------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| What is the dollar amount for your contingency? | 12,500                                                                                                                                                                                                                                                                                                                                                                  |
| What estimation technique did you use and why?  | I used the <b>bottom-up estimation technique</b> , because the project provides detailed resource rates, required hours, and available hours. I calculated each resource cost individually and added the fixed costs for the chatbot, testing tools, and coding library. This approach provides a detailed estimate and identifies resource gaps requiring contractors. |
| What is the dollar amount for your net profit?  | 42,325                                                                                                                                                                                                                                                                                                                                                                  |

# COMPLETE: Build the budget

## Create a detailed project budget for Moodies.

- Consider various cost elements, including personnel, product design, and miscellaneous expenses.
- Use the [Moodies' budget template](#) as your working document.
- Take a screenshot of your completed budget and **paste it below**.

### Budget Assumption Rationale:

No costs were provided for Development Software Licenses, Development IDEs, or Hardware. Therefore, these fields were left blank rather than assigning assumed costs, ensuring the budget reflects only the confirmed project information.

# COMPLETE: Build the budget

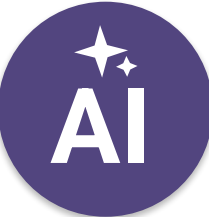
Screenshot of Moodies Budget

| C28 |   | fx                                | =C3-C27          |        |                  |
|-----|---|-----------------------------------|------------------|--------|------------------|
|     | A | B                                 | C                | D      | E                |
| 1   |   | <b>Moodies' Budget</b>            |                  |        |                  |
| 2   |   |                                   | Budget           | Actual | Remaining        |
| 3   |   | Revenue                           | 125,000.00       |        |                  |
| 4   |   | Contingency-10%                   | 12,500.00        |        | <b>12,500.00</b> |
| 5   |   | Cost of goods                     | 87,500.00        |        | <b>87,500.00</b> |
| 6   |   | Contractors                       | 40,375.00        |        | 40,375.00        |
| 7   |   | <b>Designers (\$275/hr)</b>       | 6,875.00         |        | 6,875.00         |
| 8   |   | <b>Content Author (\$85/hr)</b>   | 8,500.00         |        | 8,500.00         |
| 9   |   | Maintenance                       | \$10,000.00      |        | 10,000.00        |
| 10  |   | Customizations and implementation | \$15,000.00      |        | 15,000.00        |
| 11  |   | Software/Materials                | 1,000.00         |        | 1,000.00         |
| 12  |   | Development software licenses     |                  |        | 0.00             |
| 13  |   | Development IDEs                  |                  |        | 0.00             |
| 14  |   | Testing tools                     | 500.00           |        | 500.00           |
| 15  |   | Third-party coding libraries      | 500.00           |        | 500.00           |
| 16  |   | Hardware                          |                  |        | 0.00             |
| 17  |   | <b>Personnel / Labor Costs</b>    | 41,300.00        |        | 41,300.00        |
| 18  |   | Product Owner                     | 5,000.00         |        | 5,000.00         |
| 19  |   | Product Lead                      | 4,000.00         |        | 4,000.00         |
| 20  |   | Project Manager                   | 4,000.00         |        | 4,000.00         |
| 21  |   | <b>Designer</b>                   | 3,750.00         |        | 3,750.00         |
| 22  |   | <b>Content Author</b>             | 5,750.00         |        | 5,750.00         |
| 23  |   | Quality Assurance                 | 5,750.00         |        | 5,750.00         |
| 24  |   | Customer Service                  | 8,550.00         |        | 8,550.00         |
| 25  |   | Software Engineer                 | 4,500.00         |        | 4,500.00         |
| 26  |   | Profit Goal                       | 25,000.00        |        |                  |
| 27  |   | Total Expenses                    | 82,675.00        |        | 82,675.00        |
| 28  |   | Net Profit                        | <b>42,325.00</b> |        | <b>17,325.00</b> |

# COMPLETE: Develop a resource management plan

Develop a plan for managing project resources efficiently. Consider resource allocation, resource leveling, and resource optimization strategies.

| QUESTION                                                                          | RESPONSE                                                                                                                                                                                                                                                                                                                                                                    |
|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>What is your backup plan if an employee is out sick?</b>                       | If an employee is unexpectedly unavailable, first we identify the tasks that are time-sensitive or on the critical path. Reassign those tasks to a cross-trained team member who has available capacity. If no internal resource has sufficient capacity, use the approved contractor/vendor as a backup. Non-critical tasks can be rescheduled until the employee returns. |
| <b>What is your backup plan if one milestone isn't getting completed on time?</b> | If a milestone is delayed, I will first identify the cause and assess its impact, then reallocate available resources or contractors to critical tasks, prioritize essential work, and adjust the schedule where possible. I will communicate the delay and recovery plan to stakeholders and escalate for additional resources, budget, or scope adjustments if needed.    |



Try running some of these scenarios through your favorite AI tool. Compare your self-generated responses vs. AI's responses to help refine your submission. (Optional)

# **COMPLETE: Develop a resource management plan**

**How do each of your backup plans affect the budget?**

**Effect of Employee is out sick, on budget:**

Use existing team capacity first to avoid additional costs. If a contractor is needed, the additional contractor hours will increase the project cost.

**Effect of Milestone delayed, on budget:**

Reallocate existing resources first at no additional cost. If additional resources or schedule acceleration are required, use the contingency budget to cover the additional costs while protecting the \$25,000 profit goal.

# COMPLETE: Negotiate with vendors

| PLAN DETAIL                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | YOUR RESPONSE AND ANALYSIS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>How do you plan to negotiate prices and timeline with vendors?</b></p> <p>Using the tactics covered in the module, create an email draft to a content editing vendor for a deal on purchasing hours in bulk (bulk meaning more than a typical 10–20 hours). Enter your response in the right column.</p> <p>Feel free to use this intro to get you started!</p> <p><i>Hi ____,</i><br/><i>Thank you for submitting your quote, as you know, we greatly enjoy working with you. I'd like to further discuss...</i></p> | <p>Hi [Vendor Name],</p> <p>Thank you for submitting your quote. We greatly value the quality of your content editing services and the value you have brought to our projects in the past.</p> <p>We are currently considering proposals from multiple vendors. We need 100 additional content editing hours, and because we are committing to a larger block of hours, would you be willing to offer a bulk discount on your hourly rate?</p> <p>In addition, we would like to discuss a priority turnaround schedule so that the editing work can be completed in time to support our project milestones.</p> <p>Could you also share your revision or warranty terms and any additional services you could include as part of the bulk engagement?</p> <p>We hope to find a mutually beneficial arrangement and look forward to discussing options with you.</p> <p>Best regards,<br/>Radha Manjunath<br/>Project Manager, Redesign Moodies customer support</p> |